

# FEDERAL MARITIME COMMISSION

## Office of Administrative Law Judges

AENEAS EXPORTING LLC, *Complainant*

v.

HONEYBEE INTERNATIONAL INC., AND ALL AMERICA  
SHIPPING, *Respondent*.

**DOCKET NO. 22-11**

Served: November 16, 2022

**ORDER OF:** Erin M. WIRTH, *Chief Administrative Law Judge*.

### INITIAL DECISION APPROVING SETTLEMENT AGREEMENT<sup>1</sup>

On October 31, 2022, Complainant Aeneas Exporting LLC (“Aeneas”), in pro per, and Respondents, Honeybee International Forwarding, dba Honeybee International, Inc. (“Honeybee”) and All California Auto Parts Inc., erroneously sued herein as All America Shipping (“All America”), filed a joint motion seeking approval of a settlement agreement and dismissal with prejudice of the complaint (“Motion”) with a copy of the settlement agreement.

Complainant is unrepresented, however, he has actively engaged in this proceeding, including requesting a number of subpoenas. Initial requests for subpoenas and appointment of an expert were denied, but a subsequent subpoena request with a more detailed justification was granted. In addition, the parties agreed in email correspondence with the Commission’s Office of Administrative Law Judges that the Complainant’s motion to compel documents from Respondents, labeled as a motion to subpoena non-party, has been resolved between the parties.

Using language borrowed in part from the Administrative Procedure Act, Rule 75 of the Commission’s Rules of Practice and Procedure gives interested parties an opportunity, *inter alia*, to submit offers of settlement where “time, the nature of the proceeding, and the public interest permit.” 46 C.F.R. § 502.75(b); *see* 5 U.S.C. § 554(c). If dismissal is sought due to a settlement by the parties, “the settlement agreement must be submitted with the motion for determination as to whether the settlement appears to violate any law or policy and to ensure the settlement is free of fraud, duress, undue influence, mistake, or other defects which might make it unapprovable.” 46 C.F.R. § 502.72(a)(3). “Unless the order states otherwise, a dismissal under this paragraph is without prejudice.” 46 C.F.R. § 502.72(a)(3).

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<sup>1</sup> This initial decision will become the decision of the Commission in the absence of review by the Commission. Any party may file exceptions to this decision within twenty-two days of the date of service. 46 C.F.R. § 502.227.

The Commission has a strong and consistent policy of “encourag[ing] settlements and engag[ing] in every presumption which favors a finding that they are fair, correct, and valid.” *Inlet Fish Producers, Inc. v. Sea-Land Serv., Inc.*, 29 S.R.R. 975, 978 (ALJ 2002) (quoting *Old Ben Coal Co. v. Sea-Land Serv., Inc.*, 18 S.R.R. 1085, 1091 (ALJ 1978) (*Old Ben Coal*)). See also *Ellenville Handle Works, Inc. v. Far Eastern Shipping Co.*, 20 S.R.R. 761, 762 (ALJ 1981).

The law favors the resolution of controversies and uncertainties through compromise and settlement rather than through litigation, and it is the policy of the law to uphold and enforce such contracts if they are fairly made and are not in contravention of some law or public policy. . . . The courts have considered it their duty to encourage rather than to discourage parties in resorting to compromise as a mode of adjusting conflicting claims. . . . The desire to uphold compromises and settlements is based upon various advantages which they have over litigation. The resolution of controversies by means of compromise and settlement is generally faster and less expensive than litigation; it results in a saving of time for the parties, the lawyers, and the courts, and it is thus advantageous to judicial administration, and, in turn, to government as a whole. Moreover, the use of compromise and settlement is conducive to amicable and peaceful relations between the parties to a controversy.

*Old Ben Coal*, 18 S.R.R. at 1092 (quoting 15A AM. JUR. 2D *Compromise and Settlement* § 3 (1976)).

“While following these general principles, the Commission does not merely rubber stamp any proffered settlement, no matter how anxious the parties may be to terminate their litigation.” *Old Ben Coal*, 18 S.R.R. at 1092. However, if “a proffered settlement does not appear to violate any law or policy and is free of fraud, duress, undue influence, mistake or other defects which might make it unapprovable despite the strong policy of the law encouraging approval of settlements, the settlement will probably pass muster and receive approval.” *Old Ben Coal*, 18 S.R.R. at 1093. “[I]f it is the considered judgment of the parties that whatever benefits might result from vindication of their positions would be outweighed by the costs of continued litigation and if the settlement otherwise complies with law the Commission authorizes the settlement.” *Delhi Petroleum Pty. Ltd. v. U.S. Atlantic & Gulf/Australia – New Zealand Conf. and Columbus Line, Inc.*, 24 S.R.R. 1129, 1134 (ALJ 1988) (citations omitted).

“Reaching a settlement allows the parties to settle their differences, without an admission of a violation of law by the respondent, when both the complainant and respondent have decided that it would be much cheaper to settle on such terms than to seek to prevail after expensive litigation.” *APM Terminals North America, Inc. v. Port Authority of New York and New Jersey*, 31 S.R.R. 623, 626 (FMC 2009) (citing *Puerto Rico Freight Sys. Inc. v. PR Logistics Corp.*, 30 S.R.R. 310, 311 (ALJ 2004)).

The parties reached their settlement with the assistance of an FMC mediator. Motion at 2. The parties further state:

In the FMC Proceeding, Aeneas believes that it would prevail on the allegations set forth in its Complaint. Honeybee and All America believe that they would defeat the allegations set forth in the Complaint.

Notwithstanding these beliefs, the Parties recognize that when the claimed damages are compared with the expected remaining costs of this litigation and the inherent uncertainties of litigation, with the assistance of the FMC mediator, the Parties agreed to conduct settlement discussion to see whether the matter could be resolved. The Settlement Agreement that accompanies this Motion is the result of the mediator directed discussions among the Parties and is submitted to the Presiding Officer for approval.

Motion at 2.

The parties further assert that “the proposed settlement here is to be evaluated against litigative probabilities, litigative and administrative costs, and such other matters as justice may require,” arguing:

As discussed above, there are bona fide disagreements between Claimant and the Respondents as to certain facts and legal issues. Although each side is confident it would prevail, the outcome of any litigation is uncertain. In view of the litigative probabilities and the probability that this proceeding will continue to be time consuming, and costly, the proposed Settlement Agreement, which dismisses all FMC claims with prejudice, would save all Parties time and expense.

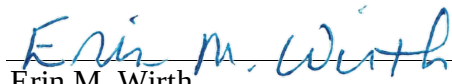
Motion at 3-4.

Based on the representations in the joint motion and other documents filed in this matter, the parties have established that the settlement agreement does not appear to violate any law or policy or contain other defects which might make it unapprovable. The agreement was negotiated with the assistance of an FMC mediator and the parties have engaged in arms-length settlement discussions. The proceeding would require potentially expensive discovery and briefing. The parties have determined that the settlement reasonably resolves the issues raised in the complaint without the need for costly and uncertain litigation. Accordingly, the settlement agreement is approved.

Upon consideration of the motion, the settlement agreement, and the record, and good cause having been stated, it is hereby:

**ORDERED** that the motion to approve the settlement agreement between Complainant Aeneas and Respondents Honeybee and All America be **GRANTED**. It is

**FURTHER ORDERED** that this proceeding be **DISMISSED WITH PREJUDICE**.

  
Erin M. Wirth  
Chief Administrative Law Judge